Accounting Made Simple

Accounting Explained in 100 Pages or Less



Mike Piper

Note: This text is intended to be a high-level introduction to accounting/bookkeeping. The author will make his best effort to keep the information current and accurate; however, given the ever-changing nature of industry regulations, no guarantee can be made as to the accuracy of the information contained within.

Table of Contents

1. Accounting Equation
    - Always true, no exceptions
    - Owners' Equity is just a plug
    - My asset is your liability
2. Balance Sheet
    - It's a snapshot
    - Assets
    - Liabilities
    - Equity
    - Current assets and liabilities vs. long-term assets and liabilities
    - Two-period balance sheets
3. Income Statement
    - Shows period of time rather than point in time
    - Gross Profit & Cost of Goods Sold
    - Operating Income vs. Net Income
4. Statement of Retained Earnings
    - Bridge between financial statements
    - Dividends are not an expense!
    - Retained Earnings: Not the same as cash
5. Cash Flow Statement
    - As opposed to income statement
    - Cash flow from operating activities
    - Cash flow from investing activities
    - Cash flow from financing activities
6. Financial Ratios
    - Liquidity ratios
    - Profitability ratios
    - Financial leverage ratios
    - Asset turnover ratios
    - Part Two Generally Accepted Accounting Principles (GAAP)
7. What is GAAP?
    - Who has to follow GAAP?

8. Debits and Credits
- Double-entry system
- The general ledger
- T-accounts
- The trial balance

9. Cash vs. Accrual
- Cash method
- Accrual method
- Prepaid expenses
- Unearned revenue

10. Other GAAP Concepts & Assumptions
- Historical cost
- Materiality
- Money unit assumption
- Entity assumption
- Matching principle

11. Depreciation of Fixed Assets
- Straight-line depreciation
- Accumulated Depreciation
- Salvage value
- Gain or loss on sale
- Other depreciation methods
- Expensing immaterial purchases

12. Amortization of Intangible Assets
- What are intangible assets?
- Straight-line amortization
- Legal life vs. expected useful life

13. Inventory & CoGS
- Perpetual method
- Periodic method
- Calculating Cost of Goods Sold
- FIFO vs. LIFO
- Average cost method

Conclusion: The Humble Little Journal Entry

Asset Turnover Ratios

Asset turnover ratios seek to show how efficiently a company uses its assets. The two most commonly used turnover ratios are inventory turnover and accounts receivables turnover.

$$\text{Inventory Turnover} = \frac{\text{Cost of Goods Sold}}{\text{Average Inventory}}$$

The calculation of inventory turnover shows how many times a company's inventory is sold and replaced over the course of a period. The "average inventory" part of the equation is the average Inventory balance over the period, calculated as follows:

$$\text{Average Inventory} = \frac{\text{Beg. Inventory} + \text{Ending Inventory}}{2}$$

Inventory period shows how long, on average, inventory is on hand before it is sold.

$$\text{Inventory Period} = \frac{365}{\text{Inventory Turnover}}$$

A higher inventory turnover (and thus, a lower inventory period) shows that the company's inventory is selling quickly and is indicative that management is doing a good job of stocking products that are in demand.

A company's receivables turnover (calculated as credit sales over a period divided by average Accounts Receivable over the period) shows how quickly the company is collecting upon its Accounts Receivable.

$$\text{Receivables Turnover} = \frac{\text{Credit Sales}}{\text{Avg. Accounts Receivable}}$$

Average collection period is exactly what it sounds like: the average length of time that a receivable from a customer is outstanding prior to collection.

$$\text{Average Collection Period} = \frac{365}{\text{Receivables Turnover}}$$

End Notes

1 Sample accounting problems for each chapter of this book are available at: www.obliviousinvestor.com/example-accounting-problems. I suggest taking advantage of them if you feel that your understanding of a topic could use some help.

2 ~~Just a reminder:~~ Sample accounting problems for each chapter of this book are available at: www.obliviousinvestor.com/example-accounting-problems

RQ: Endnote 2 flows one word per line with giant gaps; line rebuilders will join 'Just a reminder Sample' wrongly and corrupt endnote text.

3 In accounting,

4 If a company eriod, the Cost of Goods Sold calculation becomes a little more involved. We'll be covering such calculations in Chapter 13.